Chapter 13: Project Stakeholder Management

Information Technology Project Management, Seventh Edition

Note: See the text itself for full citations.

Learning Objectives

- Understand the importance of project stakeholder management throughout the life of a project
- Discuss the process of identifying stakeholders, how to create a stakeholder register, and how to perform a stakeholder analysis
- Describe the contents of a stakeholder management plan

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Learning Objectives (cont'd)

- Understand the process of managing stakeholder engagement and how to use an issue log effectively
- Explain methods for controlling stakeholder engagement
- Discuss types of software available to assist in project stakeholder management

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Importance of Project Stakeholder Management

- Because stakeholder management is so important to project success, the Project Management Institute decided to create an entire knowledge area devoted to it as part of the Fifth Edition of the PMBOK® Guide in 2012
- The purpose of project stakeholder management is to identify all people or organizations affected by a project, to analyze stakeholder expectations, and to effectively engage stakeholders

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Projects Often Cause Change

- Projects often cause changes in organizations, and some people may lose their jobs when a project is completed. Project managers might be viewed as enemies if the project resulted in job losses for some stakeholders
- By contrast, they could be viewed as allies if they lead a project that helps increase profits, produce new jobs, or increase pay for certain stakeholders
- In any case, project managers must learn to identify, understand, and work with a variety of stakeholders

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What Went Wrong?

- Changing the way work is done can send a shock wave through an organization, leaving many people afraid and even thinking about ways to stop or sabotage a project
- Donald White, founder and program manager at Defense Systems Leaders in Washington, D.C., described situations that can lead to project sabotage:
  - Buy-in blues
  - Short-term profits
  - Overachieving
  - Lack of respect

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Project Stakeholder Management Processes

- **Identifying stakeholders**: Identifying everyone involved in the project or affected by it, and determining the best ways to manage relationships with them.
- **Planning stakeholder management**: Determining strategies to effectively engage stakeholders
- **Managing stakeholder engagement**: Communicating and working with project stakeholders to satisfy their needs and expectations, resolving issues, and fostering engagement in project decisions and activities
- **Controlling stakeholder engagement**: Monitoring stakeholder relationships and adjusting plans and strategies for engaging stakeholders as needed

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Figure 13-1. Project Stakeholder Management Summary

Initiating
Process: **Identify stakeholders**
Outputs: Stakeholder register

Planning
Process: **Plan stakeholder management**
Outputs: Stakeholder management plan, project documents updates

Executing
Process: **Manage stakeholder engagement**
Outputs: Issue log, change requests, project management plan updates, project documents updates, organizational process assets updates

Monitoring and Controlling
Process: **Control stakeholder engagement**
Outputs: Work performance information, change requests, project documents updates, organizational process assets updates

Project Start → **Project Finish**

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Identifying Stakeholders

- *Internal* project stakeholders generally include the project sponsor, project team, support staff, and internal customers for the project. Other internal stakeholders include top management, other functional managers, and other project managers because organizations have limited resources
- *External* project stakeholders include the project's customers (if they are external to the organization), competitors, suppliers, and other external groups that are potentially involved in the project or affected by it, such as government officials and concerned citizens

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Additional Stakeholders

- www.projectstakeholder.com lists other stakeholders including:
  - Program director
  - Project manager's family
  - Labor unions
  - Potential customers
- It is also necessary to focus on stakeholders with the most direct ties to a project, for example only key suppliers

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Stakeholder Register

- A stakeholder register includes basic information on stakeholders:
  - Identification information: The stakeholders' names, positions, locations, roles in the project, and contact information
  - Assessment information: The stakeholders' major requirements and expectations, potential influences, and phases of the project in which stakeholders have the most interest
  - Stakeholder classification: Is the stakeholder internal or external to the organization? Is the stakeholder a supporter of the project or resistant to it?

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Table 13-1. Sample Stakeholder Register

Name	Position	Internal/ External	Project Role	Contact Information
Stephen	VP of Operations	Internal	Project sponsor	stephen@globaloil.com
Betsy	CFO	Internal	Senior manager, approves funds	betsy@globaloil.com
Chien	CIO	Internal	Senior manager, PM's boss	chien@globaloil.com
Ryan	IT analyst	Internal	Team member	ryan@globaloil.com
Lori	Director, Accounting	Internal	Senior manager	lori@globaloil.com
Sanjay	Director, Refineries	Internal	Senior manager of largest refinery	sanjay@globaloil.com
Debra	Consultant	External	Project manager	debra@gmail.com
Suppliers	Suppliers	External	Supply software	suppliers@gmail.com

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Classifying Stakeholders

- After identifying key project stakeholders, you can use different classification models to determine an approach for managing stakeholder relationships
- A **power/interest grid** can be used to group stakeholders based on their level of authority (power) and their level of concern (interest) for project outcomes

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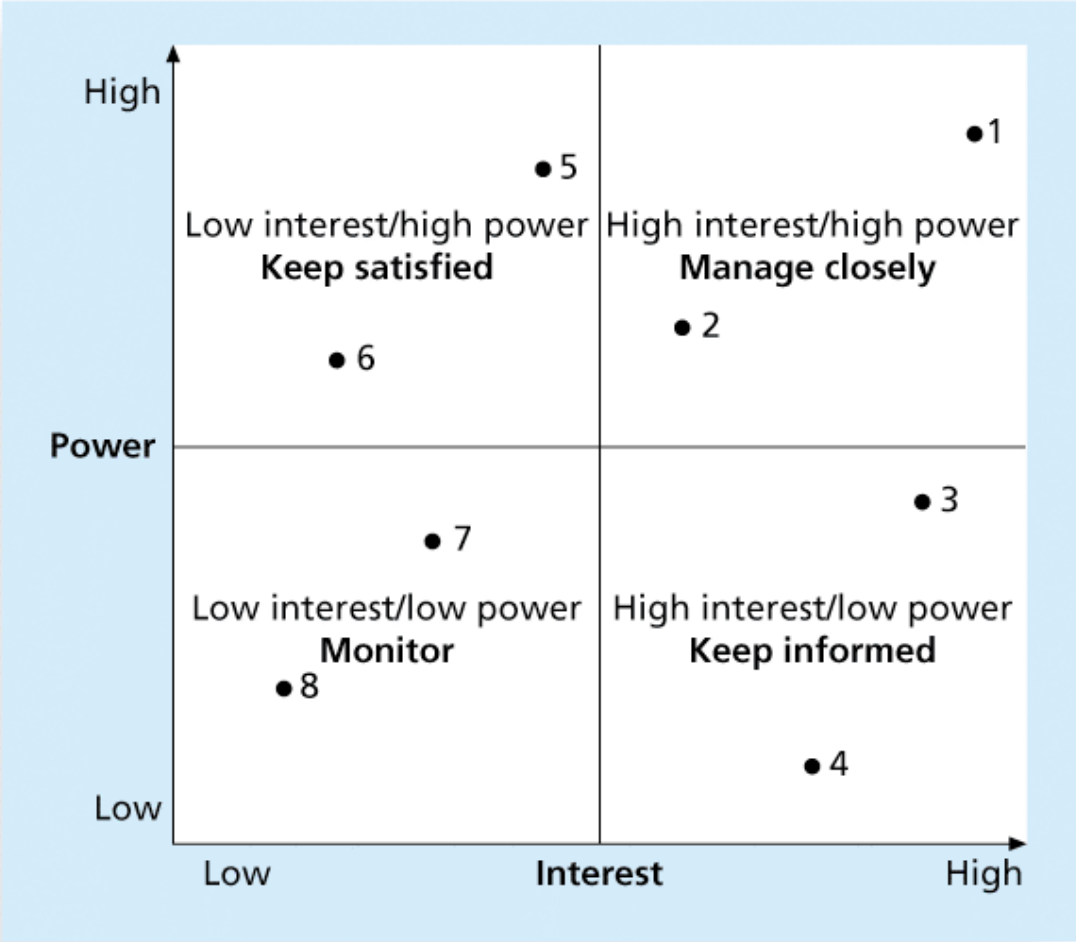
Figure 13-2. Power/Interest Grid



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Stakeholder Engagement Levels

- Unaware: Unaware of the project and its potential impacts on them
- Resistant: Aware of the project yet resistant to change
- Neutral: Aware of the project yet neither supportive nor resistant
- Supportive: Aware of the project and supportive of change
- Leading: Aware of the project

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What Went Right?

- Instead of just saying “no” when your project sponsor asks for something unreasonable, it is better to explain what is wrong with the request and then present a realistic way to solve the problem at hand
- For example, Christa Ferguson, a PMP and independent program manager in San Francisco, described how she handled a request from a project sponsor to deliver a new tablet device in two months when she knew she would need more time. Based on her experience, she knew the RFQ for the effort alone would take almost a month. Christa quickly researched the facts to propose a realistic delivery schedule.
- The project sponsor reset expectations once he learned what it took to produce the tablets

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Planning Stakeholder Management

- After identifying and analyzing stakeholders, project teams should develop a plan for management them
- The stakeholder management plan can include:
  - Current and desired engagement levels
  - Interrelationships between stakeholders
  - Communication requirements
  - Potential management strategies for each stakeholders
  - Methods for updating the stakeholder management plan

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Sensitive Information

- Because a stakeholder management plan often includes sensitive information, it should not be part of the official project documents, which are normally available for all stakeholders to review
- In many cases, only project managers and a few other team members should prepare the stakeholder management plan
- Parts of the stakeholder management plan are not written down, and if they are, distribution is strictly limited

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Table 13-2. Sample Stakeholder Analysis

Name	Power/ Interest	Current Engagement	Potential Management Strategies
Stephen	High/high	Leading	Stephen can seem intimidating due to his physical stature and deep voice, but he has a great personality and sense of humor. He previously led a similar refinery upgrade program at another company and knows what he wants. Manage closely and ask for his advice as needed. He likes short, frequent updates in person.
Chien	High/ medium	Resistant	Chien is a very organized yet hardheaded man. He has been pushing corporate IT standards, and the system the PM and sponsor (Debra and Stephen) like best goes against those standards, even though it's the best solution for this project and the company as a whole. Need to convince him that this is okay and that people still respect his work and position.
Ryan	Medium/ high	Supportive	Ryan has been with the company for several years and is well respected, but he feels threatened by Debra. He also resents her getting paid more than he does. He wants to please his boss, Chien, first and foremost. Need to convince him that the suggested solution is in everyone's best interest.
Betsy	High/low	Neutral	Very professional, logical person. Gets along well with Chien. She has supported Debra in approving past projects with strong business cases. Provide detailed financial justification for the suggested solution to keep her satisfied. Also ask her to talk to Chien on Debra's behalf.

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Managing Stakeholder Engagement

- Project success is often measured in terms of customer/sponsor satisfaction
- Project sponsors often rank scope, time, and cost goals in order of importance and provide guidelines on how to balance the triple constraint
- This ranking can be shown in an expectations management matrix to help clarify expectations

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Table 13-3. Expectations Management Matrix

Measure of Success	Priority	Expectations	Guidelines
Scope	1	The scope statement clearly defines mandatory requirements and optional requirements.	Focus on meeting mandatory requirements before considering optional ones. In this case, following corporate IT standards is optional.
Time	1	There is little give in the project completion date. The schedule is very realistic.	The project sponsor must be alerted if any issues might affect meeting schedule goals.
Cost	3	This project is crucial to the organization. If you can clearly justify the need for more funds, they can be made available.	There are strict rules for project expenditures and escalation procedures. Cost is very important, but it takes a back seat to meeting schedule and then scope goals.
Technology/ standards	2	There are several potential solutions available, but only one that meets all of the sponsor's technical requirements, especially for accounting.	While corporate IT standards are important, an exception makes sense in this case.

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Issue Logs

- Understanding the stakeholders' expectations can help in managing issues
- Issues should be documented in an **issue log**, a tool used to document, monitor, and track issues that need resolution
- Unresolved issues can be a major source of conflict and result in stakeholder expectations not being met
- Issue logs can address other knowledge areas as well

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Table 13-4. Sample Issue Log

Issue #	Description	Impact	Date Reported	Reported By	Assigned To	Priority (H/M/L)	Due Date	Status	Comments
1	Need requirements categorized as mandatory and optional	Cannot do much without it	Feb. 4	Ryan	Stephen	H	Feb. 8	Closed	Requirements clearly labeled
2	Need shorter list of potential suppliers—no more than 10	Will delay evaluation without it	Feb. 6	Debra	Ryan	H	Feb. 12	Open	Almost finished; needed requirements categorized first
Etc.									

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Best Practice

- Project managers are often faced with challenges, especially in managing stakeholders
- Sometimes they simply cannot meet requests from important stakeholders
- Suggestions for handling these situations include the following:
  - Be clear from the start
  - Explain the consequences
  - Have a contingency plan
  - Avoid surprises
  - Take a stand

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Controlling Stakeholder Engagement

- You cannot control stakeholders, but you can control their level of engagement
- Engagement involves a dialogue in which people seek understanding and solutions to issues of mutual concern
- Many teachers are familiar with various techniques for engaging students
- It is important to set the proper tone at the start of a class or project

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Example of Engaging or Not Engaging Students (or Other Stakeholders)

- If a teacher (or manager) does nothing but lecture on the first day of class (or at meetings) or criticizes the first person who offers a comment, students (or workers) will quickly decide that their best strategy is to keep quiet and maybe not even attend the class (or meetings)
- On the other hand, if the teacher (or manager) uses a lot of activities to get all participants to speak or use technology to participate, they will expect to be active participants in future classes (or meetings)

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Media Snapshot

- Many students today like to interact via text messages. Ellen DeGeneres, a popular comedian with her own television show, likes to poke fun at text messages in a segment based on amusing errors caused by cell phone auto-correct features. For example, a father had the following text exchange with his daughter:

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Media Snapshot (continued)

- In addition to watching out for auto-correct errors when messaging, users must also be careful who they reply to and what they say in reply
- See the text for an example from an actual college student who forgot about an exam. The professor called the student's cell phone shortly after the exam started. Her policy was to assign a grade of zero if students did not show up without a valid excuse
- The student did not answer the phone call, but he sent several texts, which were obviously not true

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Ways to Control Engagement

- Key stakeholders should be invited to actively participate in a kick-off meeting rather than merely attending it
- The project manager should emphasize that a dialogue is expected at the meeting, including texts or whatever means of communication the stakeholders prefer. The project manager should also meet with important stakeholders before the kick-off meeting
- The project schedule should include activities and deliverables related to stakeholder engagement, such as surveys, reviews, demonstrations, and sign-offs.

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Stakeholders As Key Project Team Members

- On some IT projects, important stakeholders are invited to be members of the project teams
- For example, when Northwest Airlines (now Delta) was developing a new reservation system called ResNet, it interviewed reservation agents for positions as programmers on the project team
- Northwest made sure that user needs were understood by having *them* actually develop the system's user interface

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Using Software to Assist in Project Stakeholder Management

- Productivity software, communications software, and collaboration tools can promote stakeholder engagement
- Social media can also help engage stakeholders. For example, LinkedIn has thousands of groups for project management professionals
- Some project management software includes functionality like Facebook's to encourage relationship building on projects, like giving high fives for a job well done

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Social Media for Project Managers

- Elizabeth Harrin, author of Social Media for Project Managers, describes the pros and cons of several social media tools, including blogs, collaboration tools, instant messaging, microblogs like Twitter and Facebook, podcasts, RSS, social networks, vodcasts (video podcasts), webinars, and wikis
- Harrin provides advice for when to use social media and when not to use it
- As the saying goes, “A fool with a tool is still just a fool.” A lot of stakeholder engagement requires old-fashioned techniques like talking to someone!

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Global Issues

- Not all software implementations go well, and managing stakeholders is a major challenge
- The U.K. government scrapped its £11.4 billion national healthcare IT initiative in September 2011 after it failed to deliver the promised benefits. Unfortunately, this project was just one in a series of high-profile failures in the U.K.
- In response, the government decided to send its project managers back to school! They partnered with the University of Oxford and the Deloitte consulting firm to establish the Major Projects Leadership Academy in Oxford, England

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Chapter Summary

- Managing stakeholders is now the tenth knowledge area in the PMBOK® Guide.
- Processes include:
  - Identify stakeholders
  - Plan stakeholder management
  - Manage stakeholder engagement
  - Control stakeholder engagement

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